CITY COUNCIL

SPECIAL MEETING AGENDA

Remote Meeting

June 15, 2021 – 5:00 p.m.

Notice: Pursuant to Governor Inslee's Proclamation 20-28, all in-person meetings are prohibited until further notice. The Mayor and Council encourage you use one of the following ways to participate in the meeting:

- **Watch** the meeting live via Federal Way YouTube Channel
- **Call in** and listen to the live meeting: (888) 788-0099 or 253-215-8782
- **Public Comment** may be submitted via email here, or sign up to provide live comments here
- **Zoom meeting code: 9807 953 6060 with passcode: 672659**

1. **CALL MEETING TO ORDER**

2. **PLEDGE OF ALLEGIANCE**

3. **STUDY SESSION**

   a. American Rescue Plan Act (ARPA)

      - Staff Report: Tim Johnson, Economic Development Director
      - Citizen Comment – 3 minutes each
      - Council Discussion

4. **EXECUTIVE SESSION**

   - Collective Bargaining pursuant to RCW 42.30.140(4)(b)
   - Evaluate Qualifications of an Applicant for Public Employment pursuant to RCW 42.30.110(1)(g)

5. **ADJOURNMENT**

COUNCIL MEETING DATE: June 15, 2021 **ITEM #: 3a**

CITY OF FEDERAL WAY
CITY COUNCIL
AGENDA BILL

SUBJECT: STUDY SESSION: AMERICAN RESCUE PLAN ACT BRIEFING

POLICY QUESTION: N/A

COMMITTEE: N/A **MEETING DATE:** N/A

CATEGORY:

☐ **Consent** ☐ **Ordinance** ☐ **Public Hearing**

☐ **City Council Business** ☐ **Resolution** ☒ **Other**

STAFF REPORT BY: Tim Johnson, Economic Development Director **DEPT:** Mayor's Office

Attachments: **1. American Rescue Plan Act Review and Recommendations PowerPoint**
2. American Rescue Plan Act Overview - Federal Way

Options Considered:

1. No action requested at this briefing.

MAYOR'S RECOMMENDATION: N/A

MAYOR APPROVAL: N/A (Committee Initial/Date) 6/10/21 (Council Initial/Date) **DIRECTOR APPROVAL:** 06/10/21 (Initial/Date)

COMMITTEE RECOMMENDATION: *N/A*

Committee Chair	Committee Member	Committee Member

PROPOSED COUNCIL MOTION: *"I move approval of the proposed _____."*

(BELOW TO BE COMPLETED BY CITY CLERK'S OFFICE)

COUNCIL ACTION:

☐ **APPROVED**
☐ **DENIED**
☐ **TABLED/DEFERRED/NO ACTION**
☐ **MOVED TO SECOND READING** *(ordinances only)*

REVISED - 4/2019

COUNCIL BILL # _____
First reading _____
Enactment reading _____
ORDINANCE # _____
RESOLUTION # _____

AMERICAN RESCUE PLAN ACT

REVIEW & RECOMMENDATIONS

CITY OF Federal Way Centered on Opportunity

Local Fiscal Recovery Funds, (LFRF)

$19.2 Million Direct Grant
Local Fiscal Recovery Fund

Finance Director, Fiscal Agent
Economic Development Director, Contact

Recent & Current Activities (LFRF)

- Mayor & Finance Director Identify Revenue Shortfalls Created by COVID-19
- Mayor Assigned Deployment Strategy for Grant Management
  - Reviewed Legislation- Produced Publication of ARPA & Federal Way
  - Council Updates
  - Senior Commission Presentation
  - LTAC Presentation
  - COVID-19 Taskforces
- Mayor/City Mgmt. Team Identified Potential Uses
- Council Approved Premium Pay for Grocery Workers (Essential Workers) Small Stores
- City Staff Applied for Shuttered Venue Grant Program ($400,000) (pending)
- Application and Receipt of First Allocation ($9.6 million)

Eligible Uses (LFRF)

- Provide government services affected by a revenue reduction during the pandemic
- Support investments in water, sewer, and broadband
- Support premium pay to essential employees
- Respond to the COVID-19 emergency & address economic effects, including to households, small businesses, nonprofits, and industries such as tourism and hospitality

Additional Framework (LFRF)

Legal Requirements

Local Fiscal Recovery Funds (LFRF)

Grant Mgmt. **$ 700,000**

3.6% of Total Grant

Hire Temporary part-time for Qrtly. & Annual Requirements/Reconciliation & Documentation + Auditing

$400,000

Hire Third Party Contractors (Experts) for Grant Writing

$300,000

CITY OF Federal Way Centered on Opportunity

Challenges (LFRF)

3 PATHWAYS:

- COVID-19 - CARES, ARPA ETC.
- Regular Federal Annual Appropriations and/or Programs
- Direct Contributions

Opportunities (LFRF)

- Leverage
- Experts
- Low Cost to High Return Ratio
- Time

Federal Way & (LFRF)

Pandemic Caused Potential Lost Revenue

$13.4 Million

Potential Uses (LFRF)

- Broadband Analysis
- PD Body Cameras
- EDEN Software Replacement
- Childcare
- Mental Health
- Tourism
- Senior Community
- City Facilities- COVID-19

Local Fiscal Recovery Funds

Positive Solutions!

Example

ARPA/LFRF PLUS OTHER RESOURCES

BECOME A TECH HUB

Broadband

- Use of ARPA/LFRF grant
- Use of Staff, Federal Lobbyist to identify and Expert Grant Writer to Acquire Grant

Example

ARPA/LFRF OTHER RESOURCES

PD BODY CAMERAS

- Use of ARPA/LFRF for(Hardware/Software)
- Find Grant for (Personnel)
- Use of Staff, Federal Lobbyist to Identify and Expert Grant Writer to Acquire Grant

Example

REGULAR FEDERAL APPROPRIATIONS

CELEBRATION PARK

FACILITY UPGRADES

- Use of Staff and Federal Lobbyist to Identify, Expert Grant Writer to Acquire Grant

Example

DIRECT CONTRIBUTION

BECOME A TECH HUB

SENIORS & FINTECH

PILOT PROJECT

- City Staff, Federal Lobbyist to Identify and Expert Grant/Proposal Writer to Acquire Funds/Grant

Process

Upon Completion of Budget Shortfall Analysis

- Mayor Recommends Potential Uses to Council
- Council Reviews Staff Reports based upon Priorities and Identification of Financial Options to Support Potential Use
- Document for Treasury

Special Thanks To

- National League of Cities
- Van Ness Feldman
- MRSC

QUESTIONS

The City of Federal Way

American Rescue Plan Act









2021

American Rescue Plan Act 2021

Economic Development, City of Federal Way
Cover by Stephan Heiserman

THE AMERICAN RESCUE PLAN ACT, 2021
An Overview
Prepared by the City of Federal Way, Economic Development
April, 2021

The current public health crisis and resulting economic impacts have shattered the health and economic wellbeing of millions of Americans including Federal Way residents. Specifically impacted are people of color, immigrants, and low-income residents. Additionally, nationally, more than 9.5 million workers lost their jobs in the wake of the pandemic, with 4 million out of work for half a year or longer.

The American Rescue Plan Act, (ARPA) is federal legislation passed by Congress and signed into law by the President on March 11th, 2021. Its intent is focused on changing the course of the pandemic and deliver immediate and direct relief to families, businesses and workers impacted by the COVID-19 crisis through no fault of their own.

As background to the Act, it is comprised of 11 Titles, or chapters. They include the following:

Title I. Agriculture, Nutrition & Forestry
Title II. Health, Education, Labor and Pensions
Title III. Banking, Housing & Urban Affairs
Title IV. Homeland Security & Government Affairs
Title V. Small Business & Entrepreneurship
Title VI. Environment & Public Works
Title VII. Commerce, Science & Transportation
Title VIII. Veteran's Affairs
Title IX. Finance
Title X. Foreign
Title XI. Indian Affairs

In addition, there are dozens of subtitles per title and hundreds of sections that highlight key elements of the Act.

The two most prominent elements of the Act involve the Economic Stimulus payment and the State and Local Fiscal Recovery Fund.

Economic Stimulus Payments
The legislation identified in Title IX, Subtitle G Part 1 Section 9601 provides "Recovery Rebates" to individuals. The ARPA provides a third round of three direct economic stimulus in response to COVID-19.

Those eligible will automatically receive an Economic Impact Payment of up to $1,400 for individuals or $2,800 for married couples, plus $1,400 for each dependent. Unlike the prior rounds of Economic Impact Payments, families will get a payment for all their dependents claimed on a tax return, not just their qualifying children under 17.

As identified by the IRS, normally, a taxpayer will qualify for the full amount if they have an adjusted gross income of up to $75,000 for singles and married persons filing a separate return, up to $112,500 for heads of household, and up to $150,000 for married couples filing joint returns and surviving spouses. Payment amounts are reduced for filers with incomes above those levels.

In total, an eligible individual could have received to date $3,200 in direct economic stimulus.

State and Local Fiscal Recovery Funds

State, local and tribal governments across the nation have been under an unprecedented strain in the wake of the COVID-19 crisis. While the need for services has increased including setting up emergency medical facilities, standing up vaccination sites, and supporting struggling small businesses - state and local revenues have plummeted as a result of the economic fallout from the crisis.

At the height of the fallout, public sector employment fell by around 1.4 million jobs, including layoffs of 1 million educators, compared to around 750,000 job losses during the Great Recession. As a result, communities have faced untenable choices, between laying off educators, firefighters and other frontline workers or failing to provide services that communities rely on.

In TITLE IX, Subtitle M, Section 9901 is divided into four sections. Sections 602 and 603 establish the State and Local Fiscal Recovery Funds Program. The ARPA provides $350 billion dollars in emergency funding for state, local, territorial, and Tribal governments to remedy this mismatch between rising costs and falling revenues. This includes:

- $195 billion for states, (a minimum of $500 million for each State);
- $130 billion for local governments (a minimum of $1.25 billion per state is provided by the statute inclusive of the amounts allocated to local governments within the state);
- $20 billion for tribal governments; and
- $4.5 billion for territories

The ARPA will provide needed relief to state, local, and tribal governments to enable them to continue to support the public health response and lay the foundation for a strong and equitable economic recovery.

In addition to helping these governments address the revenue losses they have experienced as a result of the crisis, it will help them cover the costs incurred due responding to the public health emergency and provide support for a recovery – including through assistance to households, small businesses and nonprofits, aid to impacted industries, and support for essential workers. It will also provide resources for state, local, and tribal governments to invest in infrastructure, including water, sewer, and broadband services.

Meanwhile, the following information provides an overview highlighting the opportunities by Title and Section of the Act in the effort to identify where and how to acquire funds for specific programs and projects to serve the needs of residents, businesses and other local public agencies.

TITLE I - AGRICULTURE, NUTRITION & FORESTRY

Subtitle A – Agriculture, Section 1101 – 1108
This element of the Act focuses on Agriculture, Nutrition and Forestry. There is over $4 billion available until expended.

In Section 1001 (b) (3) these dollars can be used for grants or loans through the USDA for small or midsized food processors or distributors, seafood processing facilities and processing vessels, farmers markets, and producers in response to COVID-19.

Subtitle B, Nutrition, Section 1101-1107
In Section 1101 through 1105, it identifies assistance for improvements to the Supplemental Nutrition Assistance Program, (SNAP) and nutrition support for Women, Infants and Children (WIC) in each state along with program modernization. These dollars can also be used to provide technical assistance to educate retailers on the process and technical requirements for the online acceptance of the program benefits so much more prevalent due to the pandemic.

Additionally, in Section 1107 and 1108 there are language changes in pandemic Electronic Benefit Transfer meals and supplement for at-risk school children.

TITLE II - HEALTH, EDUCATION, LABOR & PENSIONS

Subtitle A, Education Matters, Part 1 - Dept of Education
In addition to the Education Stabilization Fund for 2021, **Section 2001** of ARPA provides over $122 billion through 2023 to carry out Dept. of Education programs identified in the Act in Title II Part 1.

For example, in Section 2001 (b) (1)there is $800 million in funds in this subsection that are to be used for the purposes identifying homeless children and youth and providing these children and youth with wrap around services in the light of COVID-19. It also provides needed assistance to enable homeless children and youth to attend school and participate fully in school activities. Such funds are allocated to the states and subsequently provide subgrants to local educational agencies.

In addition, these funds can also be used for the coordination of preparedness and response efforts of local educational agencies with state, local, Tribal, and territorial public health departments, and other relevant agencies, to improve coordinated responses among such entities to prevent, prepare for, and respond to coronavirus. It also addresses activities to address the unique needs of low-income children or students, children with disabilities, English learners, racial and ethnic minorities, students experiencing homelessness, and foster care youth, including how outreach and service delivery will meet the needs of each population.

Additionally, in Section 2001, (e) (2) (I) the purchasing of supplies to sanitize and clean the facilities of a local educational agency.

Also, there is purchasing educational technology (including hardware, software, and connectivity) for students who are served by the local educational agency that aids in regular and substantive educational

interaction between students and their classroom instructors, including low-income students and children with disabilities, which may include assistive technology or adaptive equipment.

For further information go to TITLE II, Part 1 as there is extensive legislation on education programs that include elementary and Secondary School emergency Relief Fund, Higher Education Emergency Relief Fund and Maintenance of effort and equity

TITLE II Subtitle A, Part 2 Miscellaneous/National Endowments of the Arts/ National Endowments of the Humanities

The Act provides in Section 2021 funding for the National Endowments of the Arts. In addition to dollars already allocated for the Endowment an additional $135 million that are available until expended.

- Forty percent shall be for grants, and relevant administrative expenses, to State arts agencies and regional arts organizations that support organizations' programming and general operating expenses to cover up to 100 percent of the costs of the programs which the grants support, to prevent, prepare for, respond to, and recover from the coronavirus.

- Sixty percent shall be for direct grants, and relevant administrative expenses, that support organizations' programming and general operating expenses to cover up to 100 percent of the costs of the programs which the grants support, to prevent, pre17 pare for, respond to, and recover from the coronavirus.

The Act provides in Section 2022 funding for the National Endowments of the Humanities. In addition to dollars already allocated for the Endowment an additional $135 million that are available until expended.

- Forty percent shall be for grants, and relevant administrative expenses, to State arts agencies and regional arts organizations that support organizations' programming and general operating expenses to cover up to 100 percent of the costs of the programs which the grants support, to prevent, prepare for, respond to, and recover from the coronavirus.

- Sixty percent shall be for direct grants, and relevant administrative expenses, that support organizations' programming and general operating expenses to cover up to 100 percent of the costs of the programs which the grants support, to prevent, prepare for, respond to, and recover from the coronavirus.

TITLE II, Subtitle C- Human Services and Community Supports, Section 2201-2205
The ARPA provides a variety of assistance for child care, specifically, for child care operators and for the service of child care for families.

Under Section 2201, there are significant dollars for childcare, Development Block Grant Program, stabilization, Head Start and other programs. Nearly $15 billion is applied for childcare and the Development Block Grant funding.

Additionally, identified in TITLE II, Section 2202, grants will be available almost $24 billion for program dollars to the states for "Childcare Stabilization Subgrants," to assist child care providers. Again, specific

information is provided to access these funds, however, it appears that counties and cities need to work with the state to acquire funds if at all. For example, the state may issue a grant program for childcare operators whereby childcare operations must interact and apply with the state directly.
NOTE: Please be aware that under Title IX of the Act, in Sections 9611 and 9612 there is extensive information on Childcare Tax Credits. For purposes of ease of review, see below.

Child Care Tax Credits
Additionally, the American Rescue Plan's expansion of the Child Tax Credit, Section 9611 and 9612 et al., will substantially reduce child poverty by supplementing the earnings of families receiving the tax credit. Specifically, the Child Tax Credit has been revised in the following ways:

1. The IRS code has been amended specifically on reflecting the upper age of an eligible dependent and applicable threshold amounts pertaining to a joint return and head of household

2. The credit amount has been increased. The American Rescue Plan increased the amount of the Child Tax Credit from $2,000 to $3,600 for children under age 6, and $3,000 for other children under age 18.

3. Credit amounts will be made through advance payments during 2021. Individuals eligible for a 2021 Child Tax Credit will receive advance payments of the individual's credit, which the IRS and the Bureau of the Fiscal Service will make through periodic payments from July 1, to December 31, 2021. This change will allow struggling families to receive financial assistance now, rather than waiting until the 2022 tax filing season to receive the Child Tax Credit benefit.

4. The credit is now fully refundable. By making the Child Tax Credit fully refundable, low- income households will be entitled to receive the full credit benefit, as significantly expanded and increased by the American Rescue Plan.

To facilitate the disbursement of Child Tax Credit advance payments during 2021, ARPA requires the IRS to establish an online portal for taxpayers to update relevant data for mid-year payment adjustments (for example, the birth of a child during 2021). In addition to this online tool, the Treasury Department and the IRS will carry out a sweeping public awareness campaign parallel to its Economic Impact Payment campaign to reach all Americans who may be eligible for this financial assistance.

Title II Subtitle D- Public Health, Sections 2302
Specifically identified in this section, it identifies funds for the establishment and expansion including staffing support of community vaccination centers, particularly in underserved areas. Along with communications with public on how where to receive vaccines along with transportation of individuals to vaccination centers.

Title II, Part 2, Subtitle K Ratepayer Protection, Sections 2911 & 2912
Additionally, ARPA appropriates $4.5 billion to the Low-Income Home Energy Assistance Program (LIHEAP) (see Section 2911). LIHEAP is a federal program that provides energy assistance to eligible households. Washington State's LIHEAP program is administered through the Department of Commerce (DOC), which maintains a LIHEAP webpage that includes information about eligibility, services, and county-specific links. Since households are responsible for applying for LIHEAP assistance, local energy utilities may want

to provide information about LIHEAP on their website and/or include information with their billings. Households that qualify for support will have payments paid directly to their energy utility.

ARPA appropriates $500 million to the Secretary of Health and Human Services for public drinking and wastewater services (see Section 2912). These funds are directed towards reducing the arrearages of low-income households, particularly those with the lowest incomes, that have been impacted by the COVID-19 pandemic. Grants will provide funding to "owners and operators of public water systems or treatment works."

As of the publication date of this blog, the US Department of Health and Human Services (HHS) has yet to post information regarding ARPA grants on the Coronavirus (COVID-19) Grant Opportunities and Guidance webpage.

TITLE III BANKING, HOUSING and URBAN AFFAIRS

As the economic fallout from the COVID-19 crisis took form, millions of Americans were faced with the pressures of having to decide between making mortgage payments and other essential obligations. This was especially true for the low-income communities and communities of color who bore the brunt of this crisis.

According to HUD, across the nation, 1 in 5 renters is behind on rent and just over 10 million homeowners are behind on mortgage payments.

Subtitle A- Defense Production Act,

Section 3101
This section identifies the access to $10 billion for testing, PPE, vaccines and other materials.

Subtitle B- Housing Provisions, Sections 3201-3208

Section 3201 Emergency Rental Assistance
The legislation provides more than $21.5 billion in emergency rental assistance, to be administered by Treasury, to help millions of families keep up on their rent and remain in their homes.

Section 3202 Emergency Housing Vouchers
The legislation provides $5 billion for emergency housing vouchers for individuals and families who are experiencing homelessness or at risk of homelessness.

Section 3204 Housing Counseling
The legislation provides $100 million, to be administered by NeighborWorks, for grants to housing counseling providers to provide services to households facing housing instability.

Section 3205 Homelessness Assistance and Supportive Services Program
The legislation provides $5 billion for the HOME Investment Partnerships Program to help create housing and services for people experiencing or at risk of homelessness.

Section 3206 Homeowner Assistance Fund
The legislation provides nearly $10 billion, to be administered by Treasury, to help homeowners behind on their mortgage and utility payments and avoid foreclosure and eviction.

Section 3207 Relief Measures for Section 502 and 504 direct loan borrowers
The legislation provides $39 million, to be administered by USDA, for USDA Section 502 and 504 home loans, which help low and very-low income borrowers purchase, repair, and rehabilitate housing in rural areas, while helping existing borrowers who are struggling to afford housing.

Section 3208 Fair Housing Activities
The legislation provides $20 million for the Fair Housing Initiatives Program to investigate fair housing complaints, strengthen enforcement, and assist those who believe they have been victims of housing discrimination.

Section 3301 State Small Business Credit Initiative
It is no secret that the pandemic has disproportionately impacted small businesses across the country, particularly those owned and operated by women and minorities. Every community has had to face the unfortunate reality of local storefronts that are closing or have closed, resulting in friends and family members being furloughed or laid off. Nationally, small business revenue is down 32 percent, and at least 400,000 firms have permanently closed. After a year of the public health crisis, many businesses are hanging on by a thread. Within this law are plans to provide critical assistance to small businesses across the country, facilitating the urgent deployment of capital and support to help these organizations not just persevere, but recover on solid footing.

ARPA provides $10 billion to state and Tribal governments to fund small business credit expansion initiatives. This program will build off the inaugural model developed in 2011 during the Obama-Biden Administration, in which nearly $1.5 billion in capital supported over $8 billion in new lending and investing activity across 142 different programs in its first 5 years. The new iteration will expand in scale and include:

- $1.5 billion for states to support businesses owned by socially and economically disadvantaged people;
- $1 billion for an incentive program to boost funding tranches for states that show robust support for such businesses; and
- $500 million to support very small businesses with fewer than 10 employees;

This Act will inject capital into state small business support and capital access programs, provide collateral support, facilitate loan participation, and enable credit guarantee programs. It will boost state venture capital programs and provide funding for technical support and assistance. This Administration recognizes that small businesses—enterprises that are responsible for two-thirds of net new jobs in this country—are the backbone of the American economy, and a bellwether of economic progress.

Section 3401, Federal Transit Administration Grants
The Act includes $30.5 billion in federal funding for public transportation systems and to distribute the COVID-19 vaccine. The relief funds will be distributed as follows, at 100-percent federal share:

- $26.6 billion to be allocated by statutory formulas to urbanized and rural areas and tribal governments
- $2.2 billion to FTA grant recipients in communities that demonstrate additional pandemic-associated needs.
- $1.675 billion for projects in the Capital Investment Grants (CIG) Program
- $50 million under the Enhanced Mobility of Seniors and Individuals with Disabilities formula program
- $25 million for competitive planning grants
- $5 million for competitive tribal grants

TITLE IV- HOMELAND SECURITY & GOVERNMENT AFFAIRS

Section 4006 Funeral Assistance
Under the American Rescue Plan Act of 2021, FEMA will provide financial assistance for COVID-19-related funeral expenses incurred after January 20, 2020.

To be eligible for funeral assistance, you must meet these conditions:

- The death must have occurred in the United States, including the U.S. territories, and the District of Columbia.
- The death certificate must indicate the death was attributed to COVID-19.
- The applicant must be a U.S. citizen, non-citizen national, or qualified alien who incurred funeral expenses after January 20, 2020.
- There is no requirement for the deceased person to have been a U.S. citizen, non-citizen national, or qualified alien.

In April, FEMA will begin accepting applications. If you had COVID-19 funeral expenses, we encourage you to keep and gather documentation. Types of information should include:

- **An official death certificate** that attributes the death directly or indirectly to COVID-19 and shows that the death occurred in the United States, including the U.S. territories, and the District of Columbia.
- **Funeral expenses documents** (receipts, funeral home contract, etc.) that includes the applicant's name, the deceased person's name, the amount of funeral expenses, and the dates the funeral expenses happened.
- **Proof of funds received from other sources** specifically for use toward funeral costs. We are not able to duplicate benefits received from burial or funeral insurance, financial assistance received from voluntary agencies, government agencies, or other sources.

The federal assistance will be limited to a maximum financial amount of $9,000 per funeral, with a maximum of $35,500 per application for multiple funerals of other family members after Jan. 20, 2020.

Section 4007 Emergency Food and Shelter Program Funding
The legislation identifies that $400 million is available from FEMA to assist organizations in communities across the country dedicated to providing food, shelter and supportive services to people with economic emergencies, including the nation's hungry and homeless populations.

In addition, $110 million was added for organizations providing humanitarian assistance to migrants from the southern border.

Program funds help people with economic, not disaster-related, emergencies. Funds can be used for a broad range of services, including: mass sheltering; mass feeding; assistance to food pantries and food banks; payment of one month's utility bills to prevent loss of services; payment of one-month's rent or mortgage to prevent eviction or foreclosure; and transition assistance from shelters to stable living conditions.

Local nonprofit, faith-based and governmental entities that provided these types of services in their communities are eligible to apply. Applications will be completed by local entities (including local government agencies) and submitted to the program's local boards. State government facilities that provided eligible direct services will apply through their Emergency Food and Shelter Program state set-aside committee.

All applications shall be evaluated competitively. Reimbursements addressing humanitarian needs such as life sustaining food and shelter expenses will be given priority.

The supplemental $510 million is separate from the funding appropriated annually to the program. Congress previously appropriated $130 million in annual funding. That money will be distributed to agencies nationwide who provide services to those struggling with food insecurity and homelessness.

Section 4014 Emergency Management Performance Grant
The legislation added another $100 million to the existing $355 million for state agencies to apply for these grants.

TITLE V - SMALL BUSINESS & ENTREPRENEURSHIP

Section 5001 modifies and extends the Paycheck Protection Program (PPP) Loans and Other Benefits for Small Businesses.

ARPA adds $7.25 billion in funding authority to the popular Paycheck Protection Program (PPP) and expands eligibility to internet-only news publishers (500 employees or fewer), some tax-exempt groups (labor organizations, social and recreational clubs, fraternal benefit societies and religious educational groups) with no more than 300 employees and which meet specific limitations on lobbying activities, and many larger nonprofits (e.g., 501(c)(3) organizations) with no more than 500 employees.

On March 31, President Biden signed the PPP Extension Act of 2021, extending the Paycheck Protection Program an additional two months to May 31, 2021.

Section 5002 increases the **Economic Injury Disaster Loan** program amends the amount by $15 billion.

Section 5003 of the Act calls for the Support of Restaurants, a new federal program authorizing $26.8 billion the Small Business Administration (SBA) to make grants of up to $10 million in the aggregate ($5 million in the aggregate per location) to eligible entities and their affiliated businesses to cover pandemic-related losses.

What Businesses Are Eligible for RRF Grants?
"Eligible entities" are broadly defined as businesses where "the public or patrons assemble for the primary purpose of being served food or drink" and include:

- Restaurants
- Food stands and food trucks
- Caterers
- Saloons, inns, taverns, bars, lounges, brewpubs, tasting rooms and taprooms
- Licensed facilities or premises of a beverage alcohol producer where the public may taste, sample or purchase products

It would appear that nightclubs, music venues, concert halls and other entertainment venues are not included, even if they serve food or drink, as the primary purpose of people patronizing such businesses is not to be served food or drink. However, such entities may be eligible to receive grants from Section 324 of the Economic Aid to Hard-Hit Small Businesses, Nonprofits, and Venues Act.

Eligible entities also include "affiliated businesses," which are defined as businesses in which the eligible entity has an equity or right to profit distributions of not less than 50 percent or has the contractual right to control the business. (The interest or right to control must have been in existence as of March 13, 2020.)

Which Businesses Are Not Eligible for RRF Grants?

- Publicly traded companies
- Entities (together with any affiliated businesses) that operate more than 20 locations under the same or different names
- Any entity that has a pending application for or has received a grant under Section 324 of the Economic Aid to Hard-Hit Small Businesses, Non-profits, and Venues Act (commonly referred to as a Shuttered Venue Operators Grant)

How Much Assistance Can an Eligible Entity Get?
The amount of any grant is limited to the eligible entity's "pandemic-related revenue loss," which is defined as one of the following:

- 2020 gross receipts subtracted from 2019 gross receipts, if the sum is greater than zero; or
- If the entity was not in business for the entirety of 2019, the difference between the product of its average monthly gross revenues in 2019 multiplied by 12, and the product of its average monthly gross receipts in 2020 multiplied by 12; or
- If the entity opened during the period beginning on January 1, 2020 and ending on the day before the enactment of the Act, the amount of its payroll costs (which has the same meaning as in the CARES Act) less its gross receipts during that period; or
- If the entity has not yet opened as of the date of its grant application, the amount of its payroll costs incurred as of the date of the Act.

In all cases, the amount of an entity's "pandemic-related revenue losses" are reduced by the amount of Paycheck Protection Program (PPP) or PPP Second Draw loans made to the entity in 2020 or 2021.

Grants Are Capped
The aggregate amount of grants made to any eligible entity and its affiliates is capped at $10 million and $5 million per physical location of the entity.

What Can Grants Be Used For?
During the period beginning February 15, 2020 and ending December 31, 2021, the grant funds may only be used for the following expenses incurred "as direct result of, or during, the COVID-19 pandemic" and include the following:

- Payroll costs (as that term is defined in the CARES Act for PPP loans)
- Principal and interest payments on a mortgage (but not a prepayment of principal)
- Rent
- Utilities
- Maintenance expenses, including construction and furnishing costs for outdoor seating
- Supplies, including PPE and cleaning materials
- Food and beverage expenses that are within the normal scope of business of the eligible entity prior to February 15, 2020
- Covered supplier costs
- Operational expenses
- Paid sick leave
- Anything else determined by the SBA to be essential to maintaining the eligible entity

Return of Funds
Grant funds will have to be returned in the event that:

- The entity's pandemic-related revenue losses are estimated in its grant application and the estimate overstates the losses; or
- The entity goes out of business before using all of the grant funds; or
- The entity fails to use all of the grant funds before December 31, 2021 or a date set by the SBA, which cannot be more than two years after the date the Act is enacted.

Required Certifications
Entities seeking grants must self-certify in good faith in their applications that:

- The uncertainty of the current economic conditions makes necessary the grant request to support ongoing operations of the eligible entity;
- The eligible entity has not applied for or received a grant under Section 324 of the Economic Aid to Hard-Hit Small Businesses, Nonprofits and Venues Act; and
- To the extent seeking priority for the application as described above, that the eligible entity is eligible for priority.

Limitations on Grant Awards During the Initial Period After Enactment
During the first 60 days after the Act becomes law, $5 billion of the RRF is reserved for grants to eligible entities with gross receipts in 2019 of not more than $500,000. The remaining $23.6 billion is available during such period for "the Administrator to award grants ... in an equitable manner to eligible entities of different sizes based on gross receipts." After that initial 60-day period, the SBA is free to make grants to eligible entities regardless of annual gross receipts. Note that the Act appears to permit the SBA to lengthen or shorten that initial period as it sees fit.

Grant Priorities
During the initial 21-day period in which the SBA is making grants (note, the period is not the same as the initial 60-day period described above that begins running on the date of enactment), it must give grant priority to small businesses owned by women or veterans, and to socially and economically disadvantaged small businesses. After that 21-day period, the SBA is required to award grants in the order the applications are received, but "may" take steps to ensure such applicants have access to RRF grants. Applicants should be aware that given the limited funds allotted to the RRF, applications should be submitted as soon as possible.

There are still many open questions about the RRF, including those about when eligible entities can begin applying, what the applications will require, and whether the SBA will alter any of the criteria set forth in the Act. The Much team will monitor developments and provide updates as they become available.

Section 5004 Community Navigator Program, addresses another new federal program. the term means the outreach, education and technical assistance provided by community-based organizations that target eligible businesses to increase awareness of and participation in programs of the SBA. This is either an extension of services from and with the SBA to disseminate and delivery of services to businesses eligible for assistance and programs made available due to COVID-19.

Section 5005, Shuttered Venue Operators Grant
The program was established by The Economic Aid to Hard-Hit Small Businesses, Non-Profits, and Venues Act, signed into law on December 27, 2020. However, it finds itself under Section 5005 because and additional 1.25 billion was added to the program includes $for a total of 416.25 billion in grants to shuttered venues.

Eligible applicants may qualify for SVO Grants equal to 45% of their gross earned revenue, with the maximum amount available for a single grant award of $10 million. $2 billion is reserved for eligible applications with up to 50 full-time employees.

TITLE VI - ENVIRONMENT AND PUBLIC WORKS

Section 6001 Economic Adjustment Assistance is $3 billion in appropriations to the Economic Development Administration, US Dept. of Commerce. While some of these funds are for the federal government to administer such assistance, the funds in this sector shall be used for assistance to states and communities that have suffered economic injury as a result of job and GDP reductions in travel, tourism or outdoor recreation sectors.

TITLE VII - COMMERCE, SCIENCE AND TRANSPORTATION

Primary focus of attention of this Title is for the railroads, airports and the Emergency FAA & TSA Employees Leave Funds, Aviation Manufacturing Jobs Protection, airlines and specifically payroll support program extension.

In addition, there is support for the Consumer Protection and consumer Product Safety Commission along with expanded budgets to the National Institute of Standards and Technology, the National Science Foundation and the Corporation for Public Broadcasting.

TITLE VIII VETERANS AFFAIRS

There are 8 sections association with this Title. They are primarily focused on claims and appeals processing; Medicare and needs, supply chain modernization, funding of state homes, retraining and organizational items associated with the operations of the Department of Veteran's Affairs.

TITLE IX FINANCE

This is the most extensive and complicated section of the ARPA. This section provides most of the information on unemployment provisions, emergency assistance to families, tax credits Medicaid, Medicare and the State and Local Fiscal recovery funds program.

Subtitle A, Section 9013 Unemployment Compensation

Across the nation, millions of Americans have lost their jobs in the wake of the COVID-19 pandemic and, as a result, claimed unemployment benefits. The ARPA waives federal income taxes on the first $10,200 of unemployment benefits received in 2020 by middle and lower-income taxpayers.

The tax relief extends to both workers who received benefits through federal unemployment programs as well as those who received traditional benefits through their state unemployment insurance fund. This law will provide tax relief for Americans who lost their jobs and utilized unemployment benefits last year – allowing millions of workers to focus their benefits on covering essentials during the COVID-19 pandemic.

Subtitle F, Section 9501 Preserving Health Benefits for Workers

Governmental entities are subject to the enhanced Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA). This makes COBRA premium assistance (100% of premiums plus administrative fees) available to "assistance eligible individuals" (AEIs), for periods of coverage between April 1 to September 30, 2021. An AEI is a COBRA qualified beneficiary:

- Who is eligible for COBRA coverage from April 1, 2021, through September 30, 2021.
- Whose qualifying event is the involuntary termination of the AEI's employment during the period or a reduction in hours.

During this six-month period, AEIs are treated as having paid their COBRA continuation coverage premium amounts in full.

If an AEI is eligible for other group health plan coverage, this COBRA premium assistance is not available. Employers (or, in some cases, plans or insurers) receive a credit or refund of an overpayment of payroll taxes as reimbursement for these additional costs.

Notice of Premium Assistance

There are additional COBRA election notice requirements for notices furnished between April 1 to September 30, 2021. In addition to the usual requirements, ARPA requires notice of the following information:

- The availability of premium assistance regarding COBRA coverage under ARPA-21.

The option to enroll in different coverage if the employer permits AEIs to elect enrollment in the different coverage

Part 6, Section 9651 Employee Retention Credit
The American Rescue Plan extends a number of critical tax benefits to small businesses that are intended to help businesses through to the recovery while keeping up their payrolls and still taking steps to protect health outcomes for employees.

ARPA extends the availability of the Employee Retention Credit for small businesses through December 2021 and allows businesses to offset their current payroll tax liabilities by up to $7,000 per employee per quarter. This credit of up to $28,000 per employee for 2021 is available to small businesses who have seen their revenues decline, or even been temporarily shuttered, due to COVID.

The ARPA also extends through September 2021 the availability of Paid Leave Credits for small and midsize businesses that offer paid leave to employees who may take leave due to illness, quarantine, or caregiving. Businesses can take dollar-for-dollar tax credits equal to wages of up to $5,000 if they offer paid leave to employees who are sick or quarantining. Paid Leave Credits are a powerful incentive to encourage the offer of paid sick and family leave, which will help keep the virus under control by ensuring sick employees can stay home.

Title 9, Subtitle M, Section 9901, Section 603 Coronavirus State and Local Fiscal Recovery Funds

In TITLE IX, Subtitle M Section 9901, Section 602 & 603 it establishes the State and Local Fiscal Recovery Funds Program. The ARPA provides $350 billion dollars in emergency funding for state, local, territorial, and Tribal governments to remedy this mismatch between rising costs and falling revenues. This includes:

- $195 billion for states, (a minimum of $500 million for each State);
- $130 billion for local governments (a minimum of $1.25 billion per state is provided by the statute inclusive of the amounts allocated to local governments within the state);
- $20 billion for tribal governments; and
- $4.5 billion for territories

The ARPA will provide needed relief to state, local, and tribal governments to enable them to continue to support the public health response and lay the foundation for a strong and equitable economic recovery.

In addition to helping these governments address the revenue losses they have experienced as a result of the crisis, it will help them cover the costs incurred due responding to the public health emergency and provide support for a recovery – including through assistance to households, small businesses and nonprofits, aid to impacted industries, and support for essential workers. It will also provide resources for state, local, and tribal governments to invest in infrastructure, including water, sewer, and broadband services.

Title 9, Subtitle M, Section 9901, Section 604, Capital Projects Fund
The COVID-19 crisis starkly illuminated key shortcomings and inequalities in U.S. infrastructure. While some communities were able to adapt to the pandemic with remote or socially-distanced options for

work, education and health care, others lacked the infrastructure needed to do so. The disruptions of the pandemic exacerbated existing inequalities, with long-term consequences for American families.

One particularly salient infrastructure challenge has been the digital divide and the absence of foundational conditions that enable network connectivity and access. As more and more areas of work and education move online, this divide risks leaving many American families behind.

Recognizing these challenges, the ARPA provides $10 billion for states, territories, and Tribes to cover the costs of capital projects like broadband infrastructure.

The Capital Projects Fund takes critical steps to addressing these challenges laid bare by the pandemic, especially in rural America and low- and moderate-income communities, helping to ensure that all communities have access to the high-quality, modern infrastructure needed to thrive, including internet access.

TITLE X FOREIGN RELATIONS
Section 10001 Dept. of State Operations.
Section 10002 provides assistance to the US Agency for International Development.
Section 10003 Global Response provides assistance on public health issues.
Section 10004 Humanitarian Response
Section 10005 Multinational Assistance.

TITLE XI INDIAN AFFAIRS
Section 11001 Indian Health Service
Section 11002 Housing Assistance for Native Americans
Section 11004 Preservation and Maintenance of Native American Languages
Section 11005 Bureau of Indian Education
Section 11006 American Indian, Native Hawaiian and Alaska Native Education

ARPA Overview

- **The American Rescue Plan Act became law on March 11, 2021 (P.L. 117-2)**
- **Third major pandemic aid law**
  - (1) CARES
  - (2) Coronavirus Relief and Supplemental Appropriations Act of 2021
  - (3) American Rescue Plan
- **Rescue Plan Theory: Address impacts from the pandemic and shutdowns on:**
  - Individuals
    - Vaccine distribution and infrastructure
    - Direct Payments, Unemployment Insurance, Child Care credits
  - Business
    - Small Business
    - Specific Sectors
      - Aerospace
      - Restaurants
  - Public Sector
    - State, County, Local, Tribal Governments
- **More accountability, eligibility and reporting requirements than previous aid packages – lessons learned**

CITY OF Federal Way
Centered on Opportunity

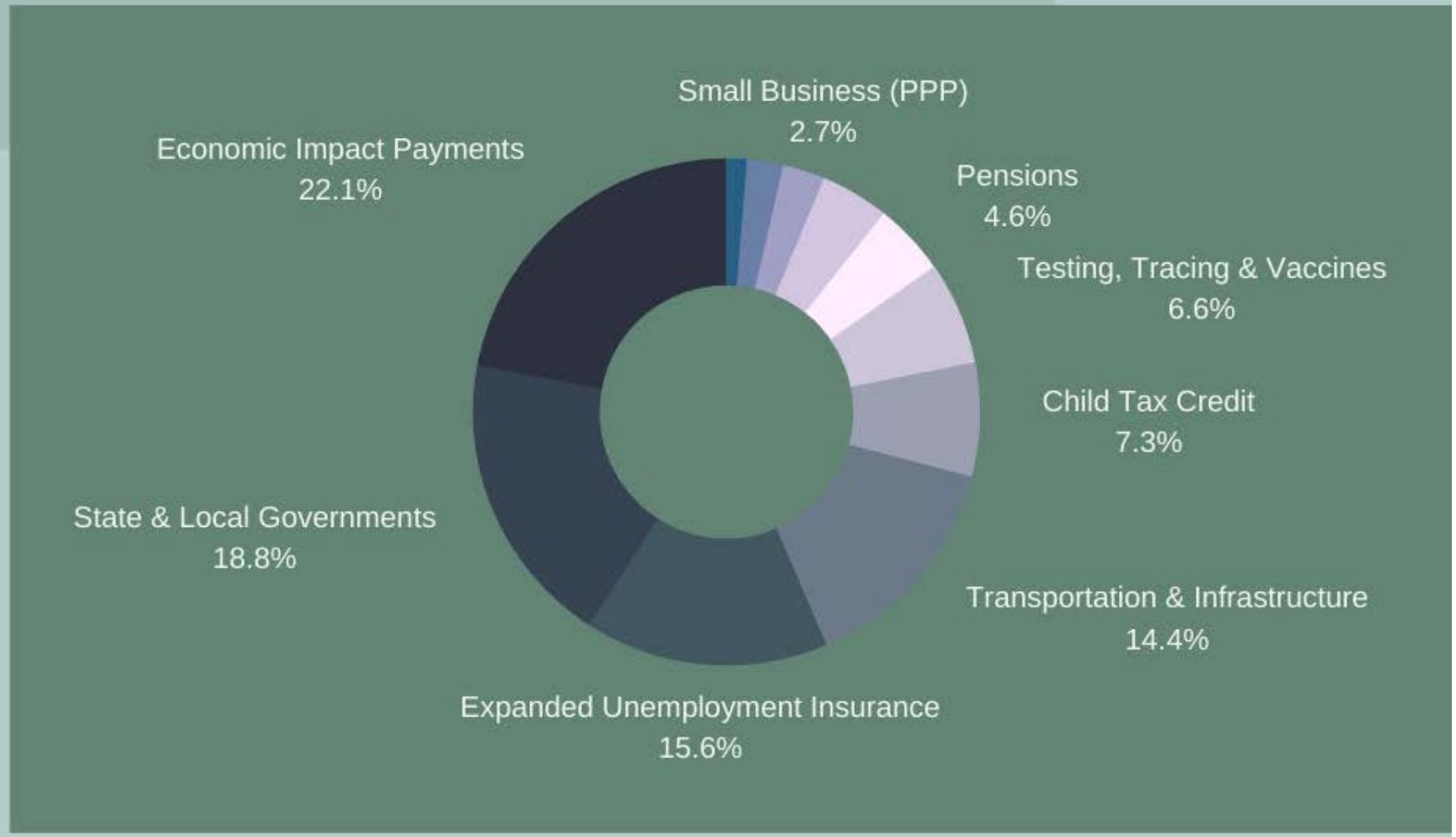
ARPA Overview

Comprised of 11 Titles, or Chapters.

- **Title I. Agriculture, Nutrition & Forestry**
- **Title II. Health, Education, Labor and Pensions**
- **Title III. Banking, Housing & Urban Affairs**
- **Title IV. Homeland Security & Government Affairs**
- **Title V. Small Business & Entrepreneurship**
- **Title VI. Environment & Public Works**
- **Title VII. Commerce, Science & Transportation**
- **Title VIII. Veteran's Affairs**
- **Title IX. Finance**
- **Title X. Foreign**
- **Title XI. Indian Affairs**

CITY OF Federal Way
Centered on Opportunity

American Rescue Act



ARPA Recommendations

- Mayor & Finance Director Identify Revenue Holes Created from COVID-19
- Utilize Local Fiscal Recovery Funds
- Approve Strategy to Utilize some of the Remaining Funds to Acquire More Federal Funds through Hiring Contract Grant Writers
- City Mgmt. Team to Identify Opportunities to Serve Community
- Meet with other Local Gov’t Agencies
- Meet with Community Stakeholders

CITY OF Federal Way
Centered on Opportunity

ARPA
State and Local Funding

- For the first time, all 19,000 municipal governments are entitled to a direct, non-competitive federal formula grant from the U.S. Treasury Department.
- All cities, towns, and villages are entitled to a federal grant from the new "Coronavirus Local Fiscal Recovery Fund."
- Aid obligated to municipalities is not in any way mingled with aid obligated to state or county governments.
- Aid for municipalities is protected from state or county interference by iron-clad statutes compelling states to comply, including penalties for states that fail to carry out their responsibilities to small cities and towns.

CITY OF Federal Way
Centered on Opportunity

ARPA
State and Local Funding Cont'd

- The measure provides the following state and local funding:
  - **$195.3 billion for states.** $25.5 billion will be distributed equally among states. Other funds would be allocated based on each state's share of unemployed people. *The state of Washington is estimated to receive $4.25 billion.*
  - **$130.2 billion for local governments.** $65.1 billion for counties, $45.6 billion for metropolitan cities, and $19.5 billion for towns with fewer than 50,000 people.
  - States and localities are allowed to transfer their funding to certain public entities, including special purpose districts – this was not clarified in the CARES Act

CITY OF Federal Way
Centered on Opportunity

ARPA
State and Local Funding Cont'd

- **Eligible Uses.**
  - Respond to the Covid-19 emergency and address its economic effects, including through aid to households, small businesses, nonprofits, and industries such as tourism and hospitality.
  - Provide premium pay to essential employees or grants to their employers. Premium pay couldn't exceed $13 per hour or $25,000 per worker.
  - Provide government services affected by a revenue reduction during the pandemic.
  - Make investments in water, sewer, and broadband infrastructure.

- **Other funding for states and localities:**
  - **$10 Billion for Capital Projects.** Funding to carry out capital projects to support work, education, and health monitoring during COVID-19. This could include broadband and other network infrastructure funding.
  - **$3 billion to the Economic Development Administration.** This will provide additional funding for existing EDA programs.

CITY OF Federal Way
Centered on Opportunity

ARPA
State and Local Funding Cont'd

- **$65.1 billion in funding to address an estimated $90 billion combined revenue shortfall.**

- **Grant Calculations are Based on a Modified CDBG formula**
  - 70% of funds, or $45.5 billion, is obligated to cities with 50,000 or more residents
  - Grant calculations based on population size, poverty rates, and measures of housing instability. *(Prioritizes targeting to need)*

BE PATIENT
US TREASURTY DETERMINES THE CALCULATION

- **2 Year Funding Certainty**
  - Grants will be released in 2 tranches. (½ following enactment and ½ 12 months following receipt of first payment).

- **Spending Deadline**
  - Money remains available until December 31, 2024; unexpended funds must be returned to Treasury.

ARPA
Individuals & Families

Direct Stimulus Payments

- $1,400 per person, reduced eligibility ($80,000)
- Local governments should have an economic mobility strategy

Tax Credits

- Enhances Earned Income, Dependent Care, and Child Tax Credit
- Employee Retention Credit and Paid Leave Credit
- Makes states and local governments eligible for FFCRA paid leave reimbursable tax credit, beginning March 31, 2021

ARPA
Individuals & Families Cont'd

Benefits

- Enhanced Unemployment Insurance
- Extends Supplemental Nutrition Assistance Program (SNAP)
- Extends Special Supplemental Nutrition Program for Women, Infants, and Children (WIC)

CITY OF Federal Way
Centered on Opportunity

ARPA
Small Businesses

- $7.25 billion in additional lending authority for the Paycheck Protection Program
  - Application process and requirements will be similar, but more stringent on proving business losses
- $28.6 billion for a Restaurant Revitalization Fund to be administered by the SBA
  - Eligible recipients would include restaurants, bars, food trucks, and caterers. Grant amounts would cover the difference between an entity's revenue in 2020 compared with 2019.
  - Awards would be reduced by amounts received through the Paycheck Protection Program.
  - Eligible expenses generally would include payroll costs, mortgage and rent payments, supplies, normal food and beverage costs, and paid sick leave.

ARPA
Small Business

- $15 billion for SBA's Economic Injury Disaster Loan (EIDL) program
  - The SBA would have to allocate $10 billion to covered entities that didn't receive their full eligible advance payments under the year-end relief package. Those entities include recipients with 300 or fewer employees and economic losses of at least 30% over eight weeks compared with a similar period before the pandemic.
- $10 billion for the State Small Business Credit Initiative
- Funding for Shuttered Venue Operators

CITY OF Federal Way
Centered on Opportunity

ARPA – COVID-19 Testing, Vaccines, and Healthcare

- Supplemental vaccination and testing grants for state and local distribution
- Funding available to state and local government public health departments to support workforce
- Funding available for community health centers
- Block grants under the Substance Abuse and Mental Health Services Administration
- Medicaid and Medicare provisions that will apply at the state level, ACA provisions
- 100% COBRA subsidy

CITY OF Federal Way
Centered on Opportunity

ARPA
Human Services

- Child Care and Development Block Grant –these go to the State then to providers
- Child Care Stabilization grants; Child Care Entitlement to States
- Emergency Funding to states for low-income families with children
- Mental Health Services Block grant
- Grants to Community Behavioral Health Clinics
- Funds for Head Start, home visiting programs, child abuse prevention and treatment grants, family violence grants
- Older American Act funding, including nutrition programs
- LIHEAP for energy assistance, plus water/sewer assistance

CITY OF Federal Way
Centered on Opportunity

ARPA
Transportation & Emergency

- Federal Emergency Management Agency (FEMA)
  - Maintain 100% FEMA reimbursement to states and local governments (Apply!)
  - FEMA firefighter, SAFER, and emergency management performance grants (Suggest joint grant)

- Transportation
- $30.5 Billion for Transit Agencies
  - Agencies can generally use the money for operating expenses including payroll costs and purchasing PPE
  - Airport & Railroad funding –costs related to operations and COVID response; airports aid

CITY OF Federal Way
Centered on Opportunity

ARPA
Education

- ESSERF: School districts ventilation systems, support staff, reduced class sizes, PPE, learning loss remediation --Must have plan to return to in-person operations
- IDEA funding, non-public schools through governor; School and library internet funding through FCC E-rate program
- States must maintain spending on both K-12 and higher education in FY 2022 and FY 2023 at least at the proportional levels relative to a state's overall spending, averaged over FY 2018, FY 2019 and FY 2020.
- States cannot cut per-pupil spending for high-need districts more than other districts; cannot fund highest-poverty districts below FY19 funding

ARPA
Housing

- Emergency rent relief and utility assistance; extra for rural housing
- Homeowner Assistance Fund –mortgage payments, property taxes, utilities, insurance
- Housing –not more than 15% of funds can be used for admin by states and local governments
- VA construction funds to upgrade homes; support for state-operated facilities
- Emergency housing vouchers to address homelessness

CITY OF Federal Way
Centered on Opportunity

ARPA
Seniors

Seniors

• Supportive Services	$1.4 billion
• Vaccinations	$UNK
• Social Isolation	$460 million
• Family Caregiving	$145 million
• Elder Abuse	$UNK
• Support for Transportation	$350 billion

CITY OF Federal Way
Centered on Opportunity

ARPA
Nutrition

- Emergency assistance through Temporary Assistance for Needy Families (TANF)
- Food supply chain –USDA purchases of food and seafood, seafood processors; support for Farmer's Markets
- Extends Supplemental Nutrition Assistance Program (SNAP)
- Extends Special Supplemental Nutrition Program for Women, Infants, and Children (WIC)

CITY OF Federal Way
Centered on Opportunity

ARPA
Utilities

- Low-Income Household Drinking Water and Wastewater Emergency Assistance Program created under the FY 2021 Omnibus to assist with payments for drinking water and wastewater expenses
  - Funding for LIHEAP, $4.5 billion
  - Funding for Water Assistance Program, $500 million

CITY OF Federal Way
Centered on Opportunity

ARPA
Arts & Humanities

- **National Endowment for the Arts**
  - $135 million

- **National Endowment for the Humanities**
  - $135 million

CITY OF Federal Way
Centered on Opportunity

ARPA
Recommendations & Takeaways

1. **Use dedicated grants and programs first whenever possible**

   Save Local Fiscal Recovery Funds for gaps and priorities not eligible for other federal and state assistance programs

2. **Assess government operations AND community needs**

   Ask staff and stakeholders for help creating a comprehensive needs assessment

3. **Prioritize fiscal stability and returning to work**

   Save pet projects for earmarks

4. **Maintain records and document success**

   Create long-term information infrastructure for your future leaders

5. **Your Congressional Delegation is part of your success**

   Invite Members of Congress to re-openings, ribbon-cuttings, etc...

ARPA
Questions

CITY OF
Federal Way
Centered on Opportunity